AGA KHAN UNIVERSITY EXAMINATION BOARD

SECONDARY SCHOOL CERTIFICATE

CLASS X EXAMINATION

APRIL/ MAY 2018

Business Studies Paper II

Time: 2 hours 25 minutes Marks: 50

AKEB May 2018 Test for E&L Learning Only

INSTRUCTIONS

Please read the following instructions carefully.

1. Check your name and school information. Sign if it is accurate.

I agree that this is my name and school. **Candidate's signature**

2. RUBRIC. There are THIRTEEN questions. Answer ALL questions. Questions 12 & 13 each offer TWO choices. Attempt any ONE choice from each.

3. When answering the questions:

   Read each question carefully.
   Use a black pointer to write your answers. DO NOT write your answers in pencil.
   Use a black pencil for diagrams. DO NOT use coloured pencils.
   DO NOT use staples, paper clips, glue, correcting fluid or ink erasers.
   Complete your answer in the allocated space only. DO NOT write outside the answer box.

4. The marks for the questions are shown in brackets ( ).

5. You may use a simple calculator if you wish.

Q.1. (Total 3 Marks)

The basic objective of a business is to earn profit but on the contrary public corporations may have other social objectives as well.

Mention any THREE social objectives of public corporations.

Q.2. (Total 3 Marks)

Bashir is the owner of a restaurant in Karachi. He wants to buy the franchising rights from a well-known restaurant chain in Saudi Arabia.

Explain the procedure that will be followed by Bashir for buying the franchise.

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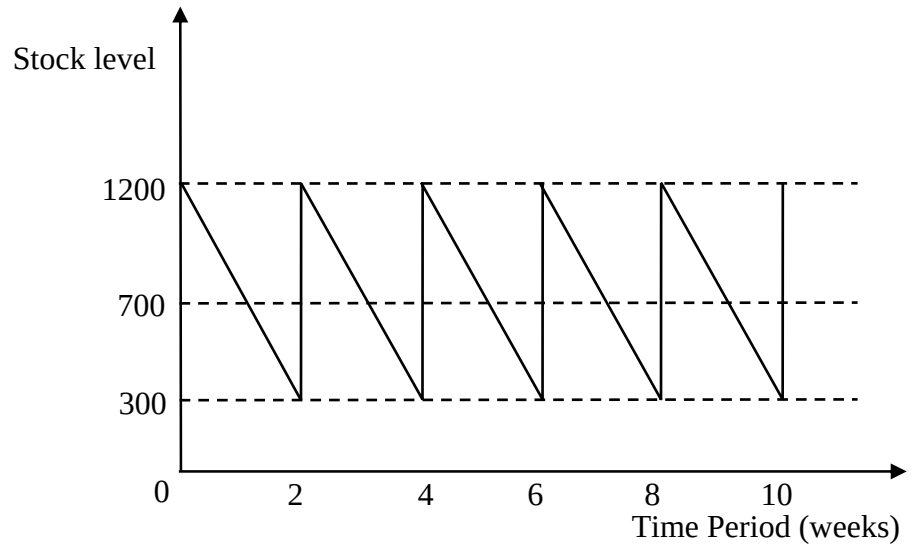
Q.3. (Total 3 Marks)

Complete the given table by mentioning the method of production used by each of the given businesses.

S. No.	Description	Method of Production
1	Rasheed is the owner of a bakery which produces different types of bread by following various stages over a series of workstations, and each type is made in bulk.	
2	Ahmed is a manufacturer of furniture. He produces different items as per the demand of the customers.	
3	Rafaqat is a manufacturer of gas cylinder. He produces identical gas cylinders in bulk by following different stages of production.	

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Q.4. (Total 3 Marks)



From the given graph, find the values of the following

- Reorder level

- Buffer stock

- Lead time

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Q.5. (Total 5 Marks)

a. Define the term 'non-financial motivators'. (1 Mark)

_____

_____

b. Complete the table for any TWO of the given non-financial motivators. (4 Marks)

(**Note:** The first example has been done for your assistance.)

Motivator	Concept	Advantage
Empowerment	Workers are given authority to make decisions related to their job.	Provides job satisfaction to employees, as they are given decision making power.
Job enlargement		
Job enrichment		
Team working		

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Q.6. (Total 4 Marks)

The given table mentions various methods of 'industrial action' and scenarios in random order.

Identify which industrial action is depicted in EACH of the given scenario by mentioning the correct serial number in the given box below.

S. No.	Industrial Action	Box	Scenario
1.	Picketing		Workers of Ahsan Sons have agreed to perform their duties but they are working below their required work capacity.
2.	Go slow		Workers of Basha Traders have agreed to do no more than the minimum work requirement mentioned in their contract, and precisely follow all safety or other regulations, which will cause a decrease in productivity.
3.	Non cooperation		Many employees of Cheema Sons have gathered outside the factory to protest and are also persuading other employees to join them. So that overall production can be reduced.
4.	Work to rule		Workers of Dabeer Traders refuse to comply with new working practices introduced by the business.

PLEASE TURN OVER THE PAGE

Q.7. (Total 5 Marks)

Discuss any FIVE benefits of having an organisation chart for a business organisation.

Q.8. (Total 4 Marks)

How do the following participants operate in the financial market? Explain.

a. Mutual funds (2 Marks)

b. Insurance companies (2 Marks)

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Q.9. (Total 4 Marks)

Finance and capital is the life blood of the business organisation.

Complete the table by identifying the suitable type of business (i.e. sole proprietor, partnership, company and non-profit organisation) that will require the following source of finances.

(**Note:** The first example has been done for your assistance.)

Sources of Finance	Type of Business
Money collected by share issue	Company
Loan from friend	
Capital invested by Samia and Sania	
Subscription money from members	
Received money by issuance of bonds	

Q.10. (Total 3 Marks)

Complete the table by describing the following marketing approaches.

S. No.	Approach to Marketing	Description
1	Production approach	
2	Sales approach	
3	Marketing approach	

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Q.11. (Total 3 Marks)

Globalisation has led to the availability of better quality products at lower prices with different choices for consumers. It has also forced the firms to produce efficiently but globalisation also has a few disadvantages.

Discuss any THREE disadvantages of globalisation, in terms of business in developing countries.

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Q.12. (Total 5 Marks)

EITHER

a. Rauf worked for 12 years in a cement factory in Africa. He has recently shifted to Pakistan and wants to set up a cement factory in Karachi.

Discuss any FIVE factors (economic and environmental) which may affect Rauf's decision.

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OR

b. Complete the table for the given non-financial motivators.

Motivator	Concept	Advantage	Disadvantage
Job Rotation	Planned transfer of an employee from one task to another.	1.	1.
Team Working	1.	1.	1.

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Q.13. (Total 5 Marks)

EITHER

a. Shoaib Limited is a multinational company. It is planning to decentralise its business with respect to product, region, functions and project.

i. Define decentralisation. (1 Mark)

ii. Illustrate the different forms of decentralisation. (4 Marks)

OR

b. Rizwan has provided the details of cash flows of his business for the month of March 2018.

Description	Amount (Rs)
Opening cash balance	12,500
Cash inflows	40,000
Cash outflows	45,000
Closing cash balance	7,500

Rizwan is planning to give discounts to the credit customers in April 2018. It is expected that his cash inflows will increase by 10%. He also plans to cut down his cash outflows by decreasing the expenses by Rs 5,000.

Compute the amount of cash flow at the end of April 2018. (5 Marks)

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